Enrollment No.: _____

Darshan UNIVERSITY

Darshan Institute of Engineering & Technology
B.Tech. | Sem-5 | Summer-2025

Course Code	:	2101MN503	**Date**	:	09-05-2025
Course Name	:	Fundamentals of Accounting	**Duration**	:	150 Minutes
			Total Marks	:	70

Instructions:
1. Attempt all the questions.
2. Figures to the right indicates maximum marks.
3. Make suitable assumptions wherever necessary.

Q.1 (A) Identify the types of accounts of the following: **4**
- (I) Rahul Pradhan's Account
- (II) Drawing Account
- (III) Rent Received Account
- (IV) Stock of Goods Account
- (V) Patent Account
- (VI) Life Insurance Premium Account
- (VII) Commission Paid Account
- (VIII) Salary Paid in Advance Account

(B) Explain the following: **3**
- (I) Money Measurement Concept
- (II) Prudence Concept
- (III) Materiality Concept

OR

Explain the following:
- (I) Realization Concept
- (II) Historical Cost Concept
- (III) Periodicity Concept

(C) "There are various users of accounting information. They play vital role in each and every organization." – Comment. **7**

OR

Write a detailed note on branches of accounting.

Q.2 (A) What is discount? Explain the two types of discounts. **4**

(B) Journalize the following transactions. **10**
1. Commenced business with cash ₹ 80,000.
2. Deposited cash with bank ₹ 40,000.
3. Purchased goods by paying cash ₹ 5,000.
4. Purchased goods from Lakshya & Co. on credit ₹ 10,000.
5. Sold goods to Joy and received cash ₹ 11,000.
6. Paid salaries by cash ₹ 5,000.
7. Paid Lakshya & Co. by cheque for the purchases made on 4th.
8. Bought furniture by cash ₹ 4,000.
9. Paid electricity charges by cash ₹ 1,000.
10. Life insurance premium paid by cheque ₹ 300.

OR

"Subsidiary books are specialized accounting records used to document specific types of transactions in an organized manner." – Justify the statement.

Q.3 (A) Explain the LIFO method of inventory valuation with example. **4**

(B) From the following balances of Mr. Mukesh, prepare his trial balance as on 31st march, 2025. **10**

Particulars	₹	Particulars	₹
Cash	2,000	Transportation charges	1,800
Capital	80,000	Discount allowed	500
Purchases	85,000	Printing charges	5,000
Sales	1,08,400	Debtors	70,000
Purchase return	6,000	Taxes	9,000
Sales return	4,000	Creditors	40,000
Investments	8,000	Machinery	15,000
Building	20,000	Furniture	6,000
Electricity charges	700	Postage	400
Drawings	8,000	Salaries	6,000
Travelling expense	2,000	Rent received	9,000

OR

From the following information, prepare the stock register of Jayesh with WAM & FIFO method.

Date	Particulars	Qty	Rate
July – 1	Opening Balance	1,500 units	₹ 6/unit
Aug – 11	Purchase	500 units	₹ 8/unit
Sept – 21	Sale	1,000 units	-
Oct – 15	Purchase	2,000 units	₹ 9/unit
Nov - 30	Sale	2,500 units	-
Dec - 24	Shortage	100 units	-

Q.4 (A) Write a short note on elements of financial statements. **4**

(B) For the given closing adjustments, prepare the table showing its effects; **10**

(A) If, given in trial balance

(B) If, not given in trial balance:

1. Closing stock of ₹ 20,000
2. Outstanding rent of ₹ 10,000
3. Prepaid insurance premium of ₹ 5,000
4. Commission yet to be received ₹ 2,000
5. Bad debts of ₹ 5,000
6. Depreciation on building ₹ 3,000
7. Interest on capital ₹ 2,000
8. Interest on drawing ₹ 1,000
9. Goods withdrawn for personal use ₹ 5,000
10. Goods distributed as free sample ₹ 2,000

OR

The following balances were extracted from the books of Avinash as on 31st March, 2025:

Particulars	Debit (₹)	Credit (₹)
Capital and drawing	10,000	80,000
General expenses	5,300	-
Building	52,000	-
Machinery	38,000	-
Stock	22,400	-
Carriage inward	2,600	-
Taxes and insurance	5,400	-
Wages	14,400	-
Debtors and creditors	12,400	15,000
Discount	1,000	1,200
Loan from Samraat	-	15,000
Purchase and sales	94,000	1,60,800
Furniture	23,000	-
Commission	-	22,500
Salaries	14,000	-
	2,94,500	2,94,500

Prepare the final accounts for the year ending 31/03/2025 after giving effects to the following adjustments:

(I) The value of closing stock was ₹ 54,000.
(II) Outstanding salaries ₹ 1,400.
(III) Depreciate the machinery and furniture by 10% p.a.
(IV) Write-off ₹ 300 as bad debts.

Q.5 **(A)** Define the following: **4**

(I) Contingent Liability
(II) GST
(III) Provisions
(IV) Reserves

(B) Give any three examples of types of incomes. **3**

OR

Explain the following:

(I) Liquid Assets
(II) Current Liabilities
(III) Fictitious Assets

(C) Define expenditure. Write a note on types of expenditures in detail with examples. Also differentiate the capital expenditure and revenue expenditure. **7**

OR

Define profit and loss account. Draw the formats of profit and loss account and balance sheet as per companies Act, 2013.

***